Report

Ledgerline: Investment Memo

Q's written answer to "Write me a one-page memo on Ledgerline", as given in the conversation. It is Q's reading of what Capital Q holds, not verified fact.

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Business and current evidence

Ledgerline provides VAT-compliance software for Nigerian SMEs. It connects to invoicing and accounting tools, validates invoices, and prepares and files monthly VAT returns. The company reports 1,140 paying businesses, approximately ₦38m in monthly recurring revenue, and 96% six-month logo retention; these figures are self-reported and dated September 2026.

Why it merits diligence

The business aligns with your seed-stage focus on fintech and enterprise software, with reported early revenue, recurring subscription revenue, and a regulatory driver from Nigeria's e-invoicing rollout. Reported paying businesses increased from 590 to 1,140 over twelve months, while reported MRR rose from ₦19.6m to ₦38m. That supports focused diligence, but not an investment conclusion.

Key risks and gaps

The deck's forecasts of ₦780m FY2027 revenue, ₦1.65bn FY2028 revenue and ₦3.1bn FY2029 revenue are company claims, not verified. Reconciled revenue and customer cohorts, pricing and gross-margin detail, churn methodology, acquisition economics, burn and runway, and evidence that the FIRS rollout converts into durable demand remain to be established. The proposed $1.8m post-money SAFE, with a $14m cap and $50k minimum cheque, also needs review against your $250k–$1m cheque range and the round's allocation.

View and next step

My conditional view is to advance to focused diligence if the reported revenue, retention and customer growth reconcile to bank, billing and cohort data, and if management can show a credible path to Series A within 24 months. Until then, the appropriate stance is an evidence hold—not a pass on the business. The immediate next step is to request the underlying monthly revenue, customer, retention, gross-margin, acquisition-cost, burn and runway data.

Q composed this from what Capital Q holds on record. It is a private draft: it is not verified evidence, it changes nothing on your record, and nothing here has been shared or sent.